

Fiduciary Duty

for Nevada HOA Board Members

What board members must do — and how to document that they did it.

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Northern Nevada HOA Board & Breakfast



The Nevada standard in one sentence

“

Board members and officers are fiduciaries. They must act on an informed basis, in good faith, and in the honest belief that their actions are in the best interest of the association.

NRS 116.3103(1) — paraphrased for education

Three duties hide inside that sentence:

1

Informed basis

Read. Ask. Understand before voting.

2

Good faith

Use honest process; no gamesmanship.

3

Association first

Put the community's interest above personal preference.

A board's job is governance, not management



Board members act on behalf of the association.

That means the board should set direction, approve policy, review finances, hire qualified professionals, and preserve the record.

Governance

Policy, budgets, contracts, enforcement standards

Oversight

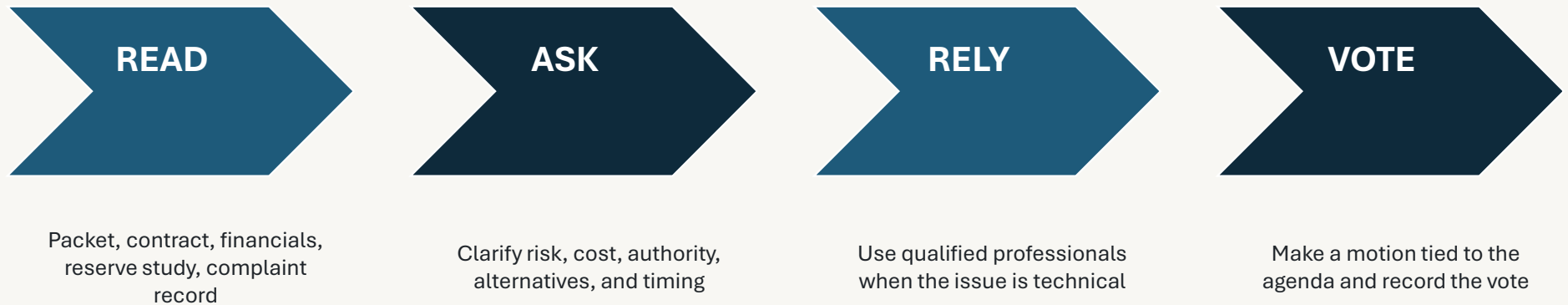
Financial review, vendor performance, risk management

Record

Agenda, motion, vote, minutes, rationale

Duty of care: be informed before you vote

A defensible board decision usually leaves a visible trail.



Best attorney line:

“The minutes do not need to be a transcript. They do need to show that the board had a lawful basis for the decision.”

Duty of loyalty: the association comes first

A conflict is not always a violation. Hiding it is where risk begins.

1

Disclose

State the relationship or interest early.

2

Limit

Do not influence the discussion if the conflict is material.

3

Recuse

Abstain or leave when counsel advises it.

4

Record

Put the disclosure and vote treatment in the minutes.

Red flags for boards

- A vendor relationship involving a director, family member, employer, or client
- Use of confidential owner information for personal advantage
- Association power used to pursue a personal grievance
- Retaliatory enforcement or selective enforcement

Meetings are where fiduciary duty becomes visible

Nevada boards need lawful process, not hallway governance.

10 days

Notice before most executive board meetings

Agenda

Shows what can be discussed and acted on

Owner comments

At the beginning and end of meetings

Minutes + audio

Votes, substance, and records made available

Executive session is narrow: contracts and bids do not belong there.

Financial stewardship: the board owns the oversight

At least quarterly, Nevada boards must review key financial and legal status items.

- ✓ Year-to-date financial statement
- ✓ Revenue and expense schedules vs. budget
- ✓ Operating and reserve account reconciliations
- ✓ Bank/institution statements
- ✓ Status of civil actions, arbitration, or mediation



Plain rule: management may prepare the reports, but the board must review, question, and act.

Fiduciary duty does not mean “be nice.” It means enforce lawfully and fairly.

Consistent

Similar facts should produce similar treatment.

Authorized

Use authority in the declaration, rules, and NRS 116.

Documented

Notice, evidence, hearing, motion, vote, and result.

Due process checkpoints

1. Notice of alleged violation
2. Opportunity for hearing
3. Decision by board
4. Fine within statutory limits
5. Continuing violation tracked correctly

Attorney prompt: “Can we explain this decision to the owner, the Ombudsman, and a judge using the same record?”

Ask the board: “What should go in the record before we vote?”

- 1 The lowest landscape bid is from a company owned by a board member’s cousin.
- 2 Management recommends a special assessment, but no one has reviewed the reserve study.
- 3 A homeowner demands selective enforcement against one neighbor after a personal dispute.
- 4 The board wants to approve a contract by email because the next meeting is inconvenient.
- 5 A director posts violation details about an owner in a neighborhood Facebook group.

Use the same framework every time: authority → information → conflict → meeting process → documented vote.

The fiduciary decision checklist

Before voting on a significant issue, slow the room down.



Authority

Do our governing documents and NRS 116 allow this?



Information

What reports, bids, advice, or financials did we rely on?



Conflict

Does anyone need to disclose, abstain, or recuse?



Process

Is this properly noticed and on the agenda?



Record

Will the minutes show the motion, vote, and rationale?

Good decisions are not just made — they are provable.

Primary sources for board members

This class is a starting point. Board members should read the law, the governing documents, and the association's current policies.

NRS 116.3103	Board power, fiduciary standard, business judgment rule, conflicts
NRS 82.221	Nonprofit director/officer care, reliance, and liability standards
NRS 116.31083	Board meetings, notice, agenda, financial review, minutes/audio
NRS 116.31085	Executive session limitations
NRS 116.31031	Fines, sanctions, due process, continuing violations
NAC 116.405	Administrative factors for evaluating board performance

Practical close: When in doubt, disclose, slow down, get advice, and document the decision.